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Tax Reform in India: Goods and Services Tax

Implemented on 1 July 2017 to simplify India's complex indirect tax structure and unify the national market.

STRATEGIC REFORM

Tax Reform in India

Goods and Services Tax: A Strategic Overview

01 **Background and Need for Reform**
HISTORICAL CONTEXT AND STRUCTURAL INEFFICIENCIES

02 **The Unified GST System**
ONE NATION, ONE TAX ARCHITECTURE

03 **Key Components and Features**
CGST, SGST, AND IGST FRAMEWORK

04 **Economic Impact and Challenges**
MACROECONOMIC OUTCOMES AND IMPLEMENTATION HURDLES

CONTEXTUAL ANALYSIS

The Pre-GST Tax Landscape

01

FRAGMENTATION

Multi-Layered Taxes

VAT, Service Tax, Excise, and Entry taxes created a complex, non-unified fiscal environment.

02

OPERATIONAL

Compliance Burden

Businesses struggled with fragmented reporting, leading to high administrative and compliance costs.

03

ECONOMIC IMPACT

Cascading Effect

The 'tax-on-tax' phenomenon inflated final consumer prices and hindered supply chain efficiency.

TAX REFORM STRATEGY

Goods and Services Tax (GST)

GST replaced multiple cascading taxes with a unified system under the vision of “One Nation, One Tax,” fostering a transparent and efficient national market.

01 | **CGST**
Central Goods and Services Tax levied by the Central Government.
CORE

02 | **SGST**
State Goods and Services Tax levied by the State Governments.

03 | **IGST**
Integrated Goods and Services Tax for all interstate trade transactions.

Input Tax Credit (ITC) Mechanism

THE CHALLENGE

Cascading Taxes

Under previous regimes, taxes were levied on taxes, leading to an inflated cost of production and inefficient supply chains.

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THE PROCESS

01 Purchase inputs with GST

02 Record tax paid as credit

03 Offset against output liability

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OUTCOMES

- ✓ Eliminates double taxation
- ✓ Lowers production costs
- ✓ Boosts business efficiency

STRATEGIC ASSESSMENT

"Although the reform initially faced challenges such as technical issues and compliance difficulties for small businesses, GST is considered a major step toward modernizing India's tax system and improving economic growth.

- Overcoming initial implementation friction
- Driving long-term structural modernization
- Catalyzing sustainable economic expansion

GOODS AND SERVICES TAX REFORM

CONCLUSION

Thank you for your attention.

We appreciate your time in reviewing the GST framework. Should you require further strategic insights or detailed analysis, please feel free to reach out.

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